Anthropic Investment Due Diligence

NEXUS RESEARCH DESK | PUBLIC EVIDENCE REVIEW

DOCUMENT CONTROL	DETAIL
Target	Anthropic
Transaction	Public evidence review for ipo filing
As-of date	6 November 2026
Currency / unit	USD millions unless stated
Prepared by	Nexus Research Desk
Review status	Research draft. Independent sign-off pending
Linked financial workbook	anthropic-due-diligence.xlsx

Research as of 6 November 2026. Filed facts, company announcements and analyst assumptions are identified separately.

1 Executive Investment Assessment

DECISION ITEM	ASSESSMENT AND OPEN ITEMS
Preliminary disposition	Defer pending verification
Core thesis	Claude's rapid adoption has improved operating leverage, but the investment case depends on revenue durability, compute utilization and financing capacity against contracted commitments.
Indicative transaction	No transaction terms or executable price assumed.
Investment test	Quarterly revenue and operating results by period
Conditions precedent	Verify final offering terms and build a quarterly commitments, liquidity and dilution bridge before pricing equity.
Disconfirming evidence	Accelerating sales and positive nine-month operating cash flow may mask payment timing, preferred-stock economics and long-dated commitments.

2 Business and Competitive Position

The amended S-1 provides financial visibility that funding headlines cannot. It also reveals long-dated infrastructure obligations that could constrain cash generation. Claude's rapid adoption has improved operating leverage, but the investment case depends on revenue durability, compute utilization and financing capacity against contracted commitments.

TEST	EVIDENCE REQUEST	ANALYST INTERPRETATION / ACTION
Market size	Segment filings and independent demand data	Build a bottom-up range. No verified TAM is assumed.

TEST	EVIDENCE REQUEST	ANALYST INTERPRETATION / ACTION
Competitive advantage	November 2 S-1/A · Quarterly Results of Operations	Q3 2026 revenue was $16.956B against $1.382B a year earlier. The latest quarter still had a $567M operating loss. The quarterly figures in the prospectus are unaudited.
Revenue concentration	November 2 S-1/A · Summary Financial Data and Cash Flows	Nine-month 2026 operating loss was $1.260B and operating cash flow was positive $6.569B. The $104.039B net loss included a $94.324B change in fair value of financing instruments.
Growth quality	November 2 S-1/A · Contractual Commitments	The prospectus discloses about $895.4B of aggregate committed spend, mostly compute and infrastructure, including about $69.8B due in the next 12 months. The aggregate spans multiple years and is not booked debt.
Regulation	Public filings and relevant case dockets	Review proposed voting control, public benefit duties, related-party arrangements and model safety governance. Inspect litigation and the cash timing of settlements.

3 Financial Diligence and Earnings Quality

USD millions. Audited annual statements from the S-1/A, with unaudited interim figures shown separately. No final offer price or traded return series is used. FY2023 revenue 41, operating income or loss -551, and operating cash flow -1,627. FY2024 revenue 386, operating income or loss -2,980, and operating cash flow -5,692. FY2025 revenue 4,585, operating income or loss -8,060, and operating cash flow -2,637.

RECONCILIATION	SOURCE	PROCEDURE	OPEN ISSUE
Revenue	Primary issuer filing	Tie annual and interim periods separately.	Check mix and repeatability.
Operating earnings	Filed results when available	Separate operating performance and financing remeasurement.	Independent QoE pending.
Working capital	Cash flow and balance sheet notes	Bridge payment timing and customer/vendor balances.	Normalize before forecasting.
Cash conversion	Operating cash flow and cash capex	Compare cash measures and assess noncash lease additions.	Check cash obligations separately.
Debt-like items	Financing and commitments notes	Reconcile debt, leases, and preferential claims.	Equity bridge pending.

4 Valuation and Market Comparisons

The workbook withholds a DCF. A defensible value requires sufficient information on operating margins, reinvestment, contract timing and the capital structure. Dated financing or filing references are evidence for diligence.

METHOD	BASIS / PROCEDURE	KEY SENSITIVITIES	VERIFICATION
DCF	Withheld	Growth, margin, capital intensity and discount rate	Required inputs unavailable
Trading peers	Pending dated comparable inputs	Business mix, fiscal periods, equity and debt bridge	No multiple published
Precedent M&A	Pending comparable transactions	Control premium, timing and rights	No multiple published
LBO	No control transaction assumed	Sponsor entry, debt covenants and exit terms	Out of scope

5 Financing and Capital Requirements

Compare spending by contractual due date with available liquidity and committed financing. Confirm cancellation and performance clauses. Preferred shares, convertible notes and lease commitments require separate treatment.

VALUE-CREATION LEVER	OPERATING KPI / CONTROL	100-DAY DILIGENCE PRIORITY
Retention and upsell	Quarterly revenue and operating results by period	Review cohorts and concentration.
Margin improvement	Compute purchase and lease commitments by due date	Bridge unit cost and reinvestment.
Add-on M&A	No acquisitions underwritten	Review only identified opportunities.
Debt and commitments	Final offer price, fully diluted shares and voting rights	Reconcile obligations by due date.
Exit and liquidity	No exit price assumed	Verify rights and financing access.

6 Quantitative Research and Model Checks

No portfolio return statistics are published without an aligned, point-in-time total-return series. The scenario narratives describe mechanisms to test. They carry no assigned probabilities.

MODEL / METRIC	METHODOLOGY	PASS / ESCALATION
Beta and tracking error	Use aligned total returns and an appropriate benchmark.	Pending verified series
VaR and CVaR	Evaluate over a sufficient sample and stress regimes.	Withheld
Drawdown	Use date-aligned peak-to-trough returns.	Withheld
Forecast validation	Check fiscal alignment and reconcile inputs to filings.	Independent review pending

MODEL / METRIC	METHODOLOGY	PASS / ESCALATION
Scenario analysis	Base case. Claude grows quickly, with continuing cash needs and uneven operating profitability.	Stress against bear case.

7 Legal Tax Cyber and Governance

WORKSTREAM	MINIMUM DOCUMENTS	RED FLAG / CLOSING GATE
Legal and corporate	Filings, governance documents and litigation dockets	Review proposed voting control, public benefit duties, related-party arrangements and model safety governance. Inspect litigation and the cash timing of settlements.
Debt and commitments	Credit and commercial contracts	Test maturities, remedies and liquidity.
Tax	Tax disclosures and relevant jurisdiction filings	Reconcile recurring taxes and disputes.
Cyber and privacy	Incident disclosures and security controls	Review independent assurance.
Governance and people	Board, voting and succession disclosures	Confirm control and approvals.

8 Risk Register and Decision Gates

MATERIAL RISK	INHERENT SEVERITY	REQUIRED MITIGATION	GATE
Compute obligations and financing dependence	High	Verify final offering terms and build a quarterly commitments, liquidity and dilution bridge before pricing equity.	Open
Upside case	Scenario	Paid usage and retention absorb reserved compute while unit delivery cost falls.	Test
Downside case	Scenario	Pricing, distribution or utilization disappoints while multi-year spending remains committed.	Test
Liquidity and cash timing	High	Build a dated commitments and cash bridge.	Open
Model risk	High	Review source dates, assumptions and scenario outputs.	Open

9 Evidence Log and Review Workflow

ITEM / ID	OWNER / SOURCE	STATUS	DECISION RELEVANCE
FIN-01 Accounts	Issuer filings or auditor	Reviewed publicly	Audited annual statements from the S-1/A, with unaudited interim figures shown separately. No final offer price or traded return series is used.
FIN-02 Earnings quality	Finance diligence	Open	Reconcile operating profit and cash.
COM-01 Commercial review	Research desk	Open	Quarterly revenue and operating results by period
LEG-01 Governance	Legal diligence	Open	Confirm decision rights and exposures.
DEAL-01 Financing	Treasury diligence	Open	Final offer price, fully diluted shares and voting rights

10 Investment Committee Resolution

Proposed research disposition is defer. Verify final offering terms and build a quarterly commitments, liquidity and dilution bridge before pricing equity. This report records no investment approval or reviewer sign-off.

SIGN-OFF	NAME / DATE	DECISION / COMMENTS
Lead investment professional	Pending	No sign-off recorded
Financial diligence lead	Pending	No sign-off recorded
Legal / compliance	Pending	No sign-off recorded
Risk / quantitative review	Pending	No sign-off recorded
Investment committee chair	Pending	No sign-off recorded

Appendix Workbook Guide and Sources

Read START HERE and Inputs before editing. The Financials tab separates historical evidence from forecasts. Blank schedules represent unavailable or out-of-scope inputs.

Source references follow. Reconcile changes to the reporting period and retain a dated record of the evidence reviewed.

November 2 S-1/A · Quarterly Results of Operations

November 2 S-1/A · Summary Financial Data and Cash Flows

November 2 S-1/A · Contractual Commitments

2026-10-26 Initial public registration filing

2026-11-02 Amendment with September interim results